cotton from Bombay. This coincided with an aggravation of a financial crisis in England. The situation added pressure on the EIC's stance on the railways as, finally, its directors reluctantly agreed to raise the rate on the guaranteed percentage to a 5 per cent without a time limit. By 1849, the EIR and the Great Indian Peninsula Railway (GIPR) were already incorporated by an Act of the Parliament. Soon, the first contracts for building railways in India were signed by the Government.

The "Guarantee System"

The first two experimental lines constructed in the Bengal and Bombay Presidencies were undertaken under a “Guarantee System”. This system had some important provisions: The contract was drawn for 99 years, with guaranteed interest varying from 4.5 to 5 per cent; the finances advanced for the guarantee were to be repaid from the profits of the line and the Government had the right to purchase the railway after 25 or 30 years; the company could surrender their lines to the Government at any time during the contract; land would be provided free of cost with the Government approving the route, gauge, and technical construction details. The Government retained the power of control and supervision, including the approval of tariffs.

In 1849, the clamour for a joint-stock company to construct railways in the Madras Presidency increased and a short, experimental line was approved in accordance with the Guarantee System and the Madras Railway Company was incorporated in July 1852. The next railway contract was awarded to the Bombay, Baroda, & Central India (BB&CI) Railway Company in 1859 to develop a coastal line in the west, initially from Surat to Ahmedabad, to be extended later till Bombay.

During the first two decades of railways in India, many other contracts were drawn under the Guarantee System, including the Scinde, Punjab, and Delhi, Eastern Bengal, Great Southern of India, Calcutta and South Eastern, Oudh, and Carnatic Railway Companies.